

Johnson Service Group plc (LSE:JSG)

Long – Target 190p vs 133p (close, 11 Sep 2026) • 43% upside • Floor 140–150p

Independent equity research • September 2026 • Raahul Ravichandran • Not investment advice; no position held

THESIS

The market is valuing JSG on revenue, which is flat. The business should be valued on cash generation, which is inflecting, because a £200m capital programme has completed and spending is now falling.

H1 2026 revenue grew 0.2% while EPS grew 8.7%. That gap is the investment case: margin expansion from completed capacity investment, combined with a share count falling roughly 6% a year, produces earnings growth several times the top line. Capex peaked at £107.7m in FY24 and has fallen twice to £96.8m. Crawley processes at 50% of capacity; Wexford, Naas and Corsham are complete. Growth from here requires volume, not capital.

BUSINESS

UK textile rental and laundry services. Two divisions: HORECA (73% of revenue, hotel and restaurant linen) and Workwear (27%, industrial garments, 94% customer retention). Revenue £535.4m FY25, up 97% since 2021. Contracted recurring revenue, physically embedded customer relationships, and a route-based asset network that is difficult to replicate.

Operating leverage is the key characteristic. HORECA organic revenue fell 2% in H1 2026, yet divisional operating profit rose 4% and margin rose 60bps to 12.7%. Energy fell to 7.9% of divisional revenue from 8.7%, with 90% of 2026 gas and 85% of electricity fixed.

WHY THE MARKET IS WRONG

- **The shares fell 7.6% on the FY25 print, but the miss was largely non-operating.** The £6.0m exceptional comprised £1.7m Main Market transition, £3.4m reorganisation including the Lancaster closure, and £0.4m from the Bristol fire
- **Falling volumes are producing rising profit.** A division losing control of its market does not expand margin on declining revenue
- **The capex cycle has turned.** Spending has fallen from 76% of operating cash flow to 70%, and acquisitions from £19.6m to 0

Note what this argument is not. JSG screens at 4.6x EV/EBITDA against a 6.7x peer median, but that discount is largely illusory: rental stock depreciates at £95.7m a year and the asset-light peers it screens against carry no equivalent. On forward earnings JSG trades at 11.3x against a 13.1x median – a real but moderate discount and the honest comparison.

VALUATION

Comps – median EV/EBITDA	247p	+86% discounted; EBITDA not comparable
Elis EV/EBITDA	211p	+59% only direct industry comparator
DCF base case	192p	+45% 8.3% WACC, 2.0% terminal growth
Sell-side consensus	190p	+43% 5 buy, 1 hold
Comps – median forward P/E	166p	+25% the honest multiple comparison
DCF pessimistic corner	150p	+13% 8.7% WACC, 1.0% growth
LBO maximum offer	140p	+5% 20% IRR, no multiple expansion

Target 190p. The floor matters more than the headline: a pessimistic DCF at 150p and an independent LBO affordability analysis at 140p bracket the downside from entirely different mechanics. Elis, the only true like-for-like comparator, implies 211p on EBITDA and 166p on earnings.

CATALYSTS

- FY26 results (March 2027) – delivery against the stated 14%+ adjusted operating margin target
- Capex guidance for FY27 – confirmation the investment programme continues to unwind
- Continued buyback: £118.5m returned since 2022, nearly 20% of share capital cancelled
- HORECA consolidation – £5m of annualised contracts added in H1 as distressed competitors exit

RISKS – AND WHAT WOULD PROVE ME WRONG

- **Labour inflation.** Rose 80bps to 47.2% of revenue in H1. Management guides toward 46% for the full year. If it does not moderate, the margin thesis weakens directly
- **HORECA volumes.** Down 2% organically, with the seasonal uplift weaker than anticipated and management assuming softer trading continues. Acceleration beyond 2% breaks the operating leverage argument
- **Capex re-acceleration.** If FY27 spending rises rather than falling further, the central mechanism fails
- **Competitive pricing.** The only principal risk management flags as increasing

Method: three-statement model built from Capital IQ filings FY2021–FY2025, forecast FY2026–FY2030, segment-level revenue and margin. DCF, trading comparables and a leveraged buyout affordability analysis run from the same core. Full methodology available on request.